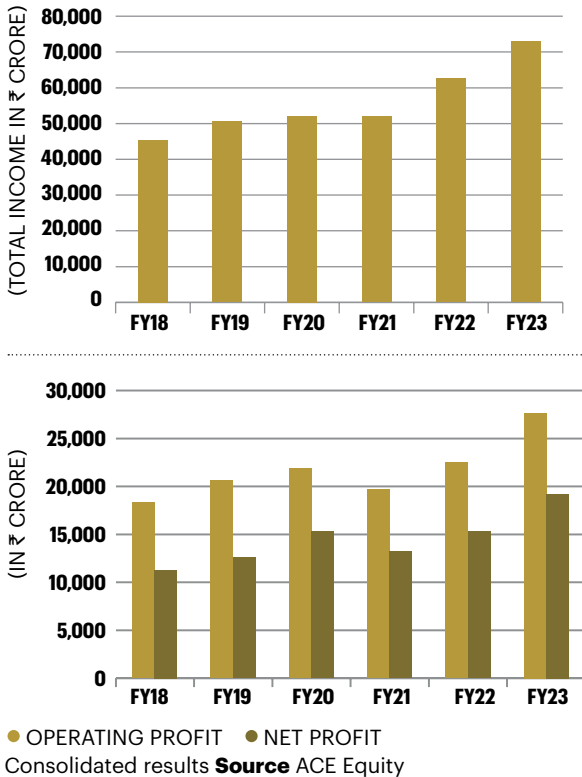


PROFIT SURGE

▶ As cost efficiencies gather momentum, they are reflecting on both revenue and profit

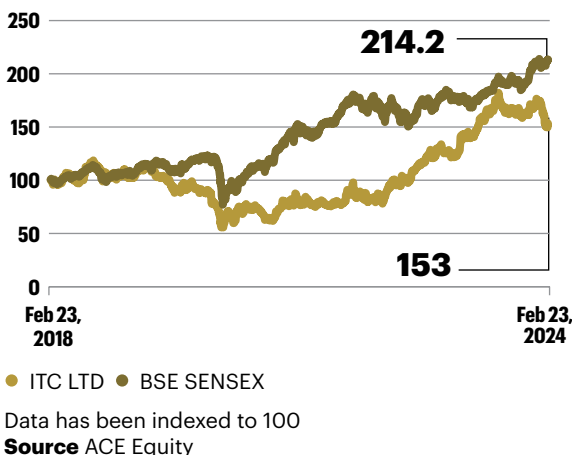
▶ Many businesses have reached scale and are individually well-placed



TRAILING THE BENCHMARK

▶ The ITC stock was subdued for many years before gaining momentum in the recent past

▶ Analysts see the innovation piece as a key trigger



treme, and consumption swings to illicit, but some stability has enabled the industry to claw back. We have strengthened the portfolio,” says Puri. Today, the non-tobacco revenue is two-thirds of the total.

On cigarettes, Abhijeet Kundu, Senior Vice-President of Research at Antique Stock Broking, says ITC’s product launches and innovation become entry barriers for competition. “ITC has been very aggressive on both. Plus, the drop in illicit consumption has helped.” It is perhaps more obvious in the case of foods, a more visible category. “Take the case of millets and it is clear they are investing for the future. The success in FMCG [the company estimates the addressable market to be ₹5 lakh crore] has been driven by foods and we are also seeing traction in ITC’s personal products portfolio.”

A meeting with Puri is never complete without a spread of ITC’s snacks. We dig into *paneer pakodas*, millet cookies (something he is very kicked about) and two versions of Aashirvaad ready-to-eat halwa. To wash it down, he offers B Natural, a natural juice brand ITC bought in 2014. “We have placed a lot of emphasis on the supply chain, which led to the creation of our ICMLs,” he says, referring to ITC’s integrated consumer goods manufacturing and logistics facilities. “It was important to be close to the market, and much of this was tweaked post-Covid to bring agility.”

To him, FMCG is about choosing categories to grow in, using the penetration logic and the transformation from unbranded to branded, while ICML facilities have been built for scale.

SUSTAINING GROWTH

Cut to the paperboards business, where per capita consumption in India is 14 kg against a global average of 55-60 kg. Puri speaks of looking for a new site and sustainable packaging as a significant opportunity. ITC is also growing its agribusiness, focussing on value-added products. “Agriculture is the business of tomorrow because of challenges in food security,” says Puri. From an investor point of view, the demerger of the hotel business was a big story, and he says the timing is right since it has matured. “Institutional synergy is critical here concerning brands, and much work is taking place.” There are more than 120 properties across 70 locations, totalling 11,600 room keys.

Puri admits to not being very aggressive until about five years ago when he took over as Chairman. In the FMCG business, which has seen a fair level of M&A activity, often at considerably large valuations, the biggest buyout ITC made was for ₹2,150 crore—